Stripe as a Global FinTech Platform

Introduction

Financial technology, commonly known as FinTech, has become one of the most important developments in the modern financial services industry. The rapid growth of the internet, smartphones, cloud computing, artificial intelligence, big data, and digital commerce has changed the way financial services are provided and used. Traditional financial institutions such as banks and payment companies are increasingly being supported and challenged by technology-driven financial platforms. FinTech companies use digital technologies to make financial services faster, more accessible, efficient, convenient, and scalable. Digital payments, online banking, digital lending, investment platforms, insurance technology, and financial management services are some of the major areas that have been transformed by FinTech.

The growth of global digital commerce has created a particular need for efficient online payment infrastructure. Businesses operating through websites, mobile applications, marketplaces, and subscription platforms need reliable systems to accept payments from customers. However, processing online and international payments can be complicated because of different currencies, payment methods, financial institutions, regulations, security requirements, and customer preferences. FinTech platforms have emerged to address these challenges by providing technology-based financial infrastructure. Among these companies, Stripe has become an important global FinTech platform focused on supporting businesses and internet-based commerce.

Stripe was founded in 2010 by brothers Patrick Collison and John Collison. The company initially focused on simplifying online payments and making it easier for businesses and developers to accept payments through websites and applications. Before the development of developer-friendly payment platforms, businesses often needed to work with different banks, payment processors, and technical systems to establish online payment facilities. Stripe introduced a technology-driven approach that allowed businesses to integrate payment services into their digital platforms through software and application programming interfaces (APIs). This approach helped reduce the technical complexity associated with online payments and made financial infrastructure more accessible to businesses.

Stripe's importance in the FinTech industry extends beyond its role as a payment processor. The company has developed into a broader financial technology platform that provides businesses with various tools and services connected with payments and online financial operations. Its platform supports areas such as payment acceptance, billing, subscriptions, fraud prevention, financial management, and services for online marketplaces. This platform-based model allows businesses to access several financial capabilities through technology rather than developing their own complex financial infrastructure.

The global nature of Stripe is one of the most important reasons for studying the company. Unlike traditional financial institutions that may primarily operate within specific countries or regions, digital FinTech platforms can expand their services across international markets. Stripe's development demonstrates the concept of a technology-driven company operating within the global financial ecosystem. Its services are designed to support businesses that operate internationally and need to interact

with customers using different currencies, payment methods, and financial systems. Therefore, Stripe provides an important example of how FinTech can support the globalization of e-commerce and digital businesses.

Academic research also highlights the importance of innovation and business-model development among global FinTech platforms. Prema, Thenmozhi, Wong, and Hasan (2026) studied ten leading global FinTech companies, including Stripe, PayPal, Block, Adyen, Ant Group, FIS, Fiserv, Worldline, Nu Holdings, and SoFi Technologies. Their study examined the relationship between innovation intensity, business-model diversification, and financial performance over the period from 2015 to 2024. The researchers found that innovation intensity and business-model diversification were positively associated with financial performance among global FinTech platforms.

Stripe is particularly relevant to this discussion because its business model combines technology, payment infrastructure, innovation, and platform scalability. The study reported relatively high innovation intensity for Stripe and found a positive relationship between innovation intensity and its financial performance. It also identified Stripe as one of the firms showing strong operational performance supported by technology-driven payment models and investment in digital infrastructure and platform scalability. This demonstrates that Stripe's development cannot be understood only as the growth of a payment service; it is also an example of how continuous technological innovation can support the development of a global FinTech platform.

Another important characteristic of Stripe is its developer-focused approach. Stripe's APIs allow developers to connect financial services with websites, applications, and other digital products. This approach has helped make payment infrastructure more accessible to startups, small businesses, online retailers, marketplaces, and larger enterprises. By providing financial infrastructure through software, Stripe enables businesses to concentrate on their main products and services while relying on Stripe for important payment-related functions. This creates value for both businesses and their customers by reducing complexity and improving the digital payment experience.

The business model of a global FinTech platform also depends on scalability and diversification. Unlike a traditional business that may depend on a limited number of physical locations or services, a digital platform can potentially serve a large number of businesses through the same technological infrastructure. Stripe's expansion into multiple financial products and services reflects the importance of developing diversified revenue sources. The academic study provided also emphasizes that diversified business models can improve operational resilience and profitability, while excessive dependence on transaction-based revenue can increase earnings volatility.

Competition is another important aspect of Stripe's position in the global FinTech industry. Stripe operates in an industry that includes established payment companies, traditional financial institutions, technology companies, and other FinTech platforms. Companies such as PayPal, Adyen, Block, and other payment providers compete in different areas of the digital financial ecosystem. Therefore, Stripe must continuously improve its technology, products, security, international capabilities, and customer experience to maintain its competitive position. Its ability to combine payment services with a wider range of financial tools is an important part of its strategy as a global platform.

At the same time, global FinTech platforms face several challenges. Financial services are highly regulated, and regulations vary across countries. Issues related to data privacy, cybersecurity, fraud, payment security, consumer protection, taxation, and financial regulation can influence the operations of a company like Stripe. International expansion also requires companies to understand the financial and regulatory environments of different markets. Maintaining a secure and reliable payment infrastructure is particularly important because businesses and consumers depend on digital payments being available and trustworthy.

The study of Stripe is therefore significant because it demonstrates the broader transformation of financial services through technology. Stripe shows how a company can use software, digital infrastructure, innovation, and a platform-based business model to provide financial services to businesses operating in the global digital economy. Its development illustrates the relationship between FinTech innovation, online payments, e-commerce, international expansion, business-model diversification, and competitive strategy.

This case study, "Stripe as a Global FinTech Platform," focuses on understanding how Stripe has developed and expanded within the global FinTech ecosystem. It examines the company's background, business model, technology and innovation, international expansion, products and services, competitive advantages, challenges, and contribution to digital payments and global e-commerce. The study also considers the importance of innovation and business-model diversification in sustaining the performance and competitiveness of FinTech companies. By examining Stripe, the study aims to understand how technology-driven financial platforms are changing the global financial services industry and supporting the continued growth of the digital economy.

Reference used

Prema, M., Thenmozhi, E., Wong, C. D., & Hasan, M. (2026). A Quantitative Study on Innovation and Business Model Dynamics of Global Fintech Platforms. Journal of Sustainable Learning and Development, 6(1), 291–298.

Objectives of the Study

- The main objective of this study is to examine Stripe as a Global FinTech Platform and understand its role in transforming digital payments and financial services.
- The specific objectives are:
- To examine the evolution of Stripe from an online payment service into a global FinTech platform.
- To study Stripe's business model and understand how it creates value for businesses, developers, marketplaces, and online platforms.
- To analyse Stripe's global expansion strategy and identify the factors that have contributed to its international growth.
- To examine the role of technology and innovation in Stripe's development, particularly its software-based payment infrastructure and developer-focused APIs.
- To study Stripe's competitive position in the global FinTech and digital payments industry.

- To examine the challenges faced by Stripe in areas such as international regulations, cybersecurity, payment security, competition, and different market environments.
- To analyse the relationship between innovation, business-model diversification, and financial performance in the context of Stripe and other global FinTech platforms.
- To understand Stripe's contribution to global e-commerce and digital payments and its role in enabling businesses to participate in the digital economy.
- To identify the future opportunities and growth prospects of Stripe as a global FinTech platform.

Review of Literature

The growth of FinTech has resulted in significant changes in the financial services industry, particularly in digital payments and online commerce. Researchers have increasingly examined how technology-driven financial platforms use innovation, digital infrastructure, and new business models to compete in global markets. Stripe provides an important example of this development because it has evolved from an online payment provider into a broader financial technology platform serving internet-based businesses.

Matias (2018), in the study Stripe: A Born Global Payment Processor, examined the factors behind Stripe's early internationalization. The study positioned Stripe within the concept of a "Born Global" firm and analysed the marketing and technological factors that contributed to its rapid international expansion. The research highlights the importance of cloud-based technology, the global nature of payment services, the company's leadership, and its developer-focused approach. According to the study, Stripe's technology allowed it to provide payment infrastructure across geographical boundaries while reducing some of the limitations faced by smaller firms attempting to internationalize. This study is particularly relevant to the present research because it explains how Stripe developed an international orientation at an early stage.

Siegel and Kissick (2016), in the Stanford Graduate School of Business case Stripe: Increasing the GDP of the Internet, examined Stripe's development from a small start-up into a major Internet-finance company. The case discusses Stripe's expansion beyond online payment processing into tools for social commerce, online marketplaces, and businesses operating on the Internet. It also examines important strategic issues such as selecting new markets and customers, responding to competitors, developing new products, geographical expansion, and forming partnerships. This literature is important because it demonstrates that Stripe's growth was not based only on payment processing but also on its ability to identify and prioritize opportunities within the rapidly developing digital economy.

The Stanford case further highlights the relationship between Stripe's growth and the expansion of global e-commerce, smartphones, mobile applications, and social media. These developments created favourable conditions for online financial infrastructure. Stripe's strategy was therefore closely connected with the growth of Internet-based businesses and the increasing requirement for simple and scalable payment systems.

Recent research by Prema, Thenmozhi, Wong, and Hasan (2026) examined innovation and business-model dynamics among global FinTech platforms. The study included Stripe alongside other major FinTech companies and investigated the relationship between innovation intensity, business-model diversification, and financial performance. The research is relevant to the present study because it provides a broader framework for understanding Stripe within the global FinTech ecosystem. It suggests

that innovation and diversification are important factors in the performance and sustainability of technology-driven financial platforms.

The literature therefore indicates that Stripe's development can be understood through several interconnected dimensions: internationalization, technological innovation, platform-based business models, global competition, and digital commerce. Earlier research mainly focused on Stripe's early international expansion and competitive positioning, while more recent FinTech research provides a broader perspective on innovation and business-model dynamics. Together, these studies provide a foundation for examining Stripe as a global FinTech platform.

However, there is scope for further study by bringing these dimensions together in a single case study. Rather than examining Stripe only as a payment processor, the present study considers Stripe as a global FinTech platform and analyses how its technology, business model, international expansion, innovation, and competitive strategy have contributed to its development within the global digital financial ecosystem.

Company Profile – PayPal

PayPal Holdings, Inc. is a global technology and financial services company that provides digital payment and commerce solutions to consumers and businesses. Its platform enables users to send, receive and make payments through digital channels, while merchants can use PayPal’s services to accept payments and manage their online commerce activities. PayPal describes its business as a two-sided platform serving consumers and merchants worldwide.

PayPal was founded in 1998 and became one of the pioneers of online payments. Over the years, the company expanded from a simple online payment service into a broader digital commerce ecosystem. Its major brands and services include PayPal, Venmo and Braintree, which serve different consumer and merchant payment requirements.

The company's business model is primarily based on facilitating digital transactions and providing value-added services to consumers and merchants. Its global scale, established brand reputation, payment infrastructure and large user network provide important competitive advantages. PayPal also operates in a highly regulated industry and must comply with requirements relating to financial services, consumer protection, privacy, cybersecurity, anti-money-laundering and other regulations.

PayPal competes with traditional payment networks, banks and financial institutions as well as technology-driven companies such as Stripe, Block, Apple and Google. The company therefore operates in a highly competitive FinTech environment where technological innovation, convenience, security and customer experience are important factors.

Overall, PayPal represents one of the most significant examples of a global FinTech platform. Its development demonstrates how digital technology can transform traditional payment systems and create scalable financial services for consumers and businesses across international markets.

Introduction to SWOT Analysis

SWOT analysis is a strategic management tool used to evaluate the internal and external factors that influence an organization's performance and future development. SWOT stands for Strengths, Weaknesses, Opportunities and Threats. Strengths and weaknesses are internal factors that arise from within the organization, while opportunities and threats are external factors resulting from the market, technology, competition, regulations and other environmental conditions.

In the FinTech industry, SWOT analysis is particularly useful because companies operate in a rapidly changing environment. Digital payment platforms must continuously respond to technological developments, changing customer expectations, cybersecurity risks, regulatory requirements and intense competition. A SWOT analysis can therefore help identify the resources and capabilities that provide competitive advantage as well as the areas requiring improvement.

For PayPal, SWOT analysis helps evaluate its position as a global digital payments and commerce platform. The analysis considers factors such as PayPal's strong brand, large customer and merchant network, payment infrastructure and technological capabilities. At the same time, it considers challenges such as intense competition, changing consumer preferences, product complexity and the need to maintain innovation.

The opportunities and threats section focuses on external developments that can influence PayPal's future. The expansion of digital commerce, artificial intelligence, mobile payments, international markets and new financial services can create opportunities for growth. However, competition from companies such as Apple, Google, Stripe and other FinTech platforms, together with regulatory, cybersecurity and economic risks, can create significant threats. PayPal itself identifies evolving regulation, cybersecurity, privacy and competition as important risks to its business.

Therefore, SWOT analysis provides a structured framework for understanding PayPal's current strategic position and identifying the actions that may help the company maintain its competitiveness in the global FinTech industry.

SWOT Analysis of PayPal

A. Strengths

1. Strong global brand recognition
PayPal has established itself as a widely recognized digital payments brand. Strong brand trust can encourage consumers and merchants to use its services for online transactions.

2. Large two-sided network
PayPal operates a platform connecting consumers and merchants. Its large network creates network effects because the usefulness of the platform increases as more consumers and businesses participate.

3. Diversified ecosystem
PayPal's ecosystem includes PayPal, Venmo and Braintree, allowing the company to serve different

segments of the digital payments market. This diversification reduces dependence on a single product or customer group.

4. Established payment infrastructure
PayPal has extensive experience in processing digital transactions at global scale. Its infrastructure, risk-management capabilities and transaction data provide important operational advantages.

5. Strong experience in security and fraud management
Digital payments require sophisticated systems for fraud detection, authentication and transaction security. PayPal's long experience in online payments provides valuable capabilities in these areas.

B. Weaknesses

1. Strong dependence on the digital payments market
PayPal's performance is closely connected to transaction volumes and consumer and merchant activity. Changes in online spending or payment preferences can therefore affect its performance.

2. Intense pressure on product innovation
PayPal faces competition from companies that can introduce new payment experiences quickly. Maintaining technological leadership requires continuous investment and faster product development.

3. Product and technology complexity
PayPal operates several brands, products and services. Managing a large technology ecosystem can create operational complexity and make it more difficult to deliver a consistent customer experience.

4. Customer growth challenges in mature markets
In highly developed digital-payment markets, gaining new users can become more difficult because consumers already have several payment options.

5. Dependence on partnerships and external payment infrastructure
The digital payments ecosystem involves banks, card networks, merchants, technology providers and other partners. Changes in these relationships or their pricing can affect PayPal's business.

C. Opportunities

1. Growth of global e-commerce
The continuing expansion of online shopping creates opportunities for PayPal to increase digital transaction volumes and merchant adoption.

2. Artificial intelligence
AI can be used to improve fraud detection, personalization, customer support, risk management and payment experiences. PayPal can use its large transaction-data ecosystem to develop AI-driven services.

3. Expansion of Venmo commerce
Venmo provides an opportunity to expand beyond peer-to-peer payments into merchant payments, shopping and other financial services.

4. Growth of value-added financial services
PayPal can increase revenue by expanding services beyond basic payment processing, including financial tools, merchant services and other commerce-related solutions.

5. International digital payment growth
Growing smartphone adoption, digital commerce and financial technology in emerging markets provide opportunities for further international expansion.

D. Threatness

1. Intense competition
PayPal faces strong competition from Apple Pay, Google Pay, Stripe, Block, Adyen, banks and traditional card networks. Low switching costs can make it easier for customers and merchants to adopt competing services.

2. Cybersecurity and fraud risks
As a digital financial platform, PayPal is exposed to cyberattacks, account takeovers, fraud and data-security risks. A major security incident could damage customer trust and create financial and regulatory consequences.

3. Increasing regulatory requirements
PayPal operates in a highly regulated global industry. Regulations concerning payments, privacy, consumer protection, anti-money laundering and cybersecurity continue to evolve.

4. Technological disruption
Rapid developments in artificial intelligence, digital wallets, blockchain, embedded finance and new payment technologies could change the competitive structure of the FinTech industry.

5. Changing consumer preferences
Consumers increasingly expect faster, simpler and more integrated payment experiences. If PayPal fails to meet these expectations, users may shift toward alternative payment platforms.

Findings

The analysis of PayPal as a global FinTech platform provides several important findings.

1. Strong platform position:
PayPal has developed from an online payment service into a broader digital commerce platform connecting consumers and merchants. Its large network and established infrastructure provide a significant competitive advantage.

2. Brand and trust are major competitive assets:
In financial services, customers require confidence in the security and reliability of transactions. PayPal's established global brand provides an important foundation for maintaining customer and merchant relationships.

3. Innovation is essential for long-term competitiveness:
The FinTech industry is changing rapidly because of artificial intelligence, mobile payments, digital wallets and new payment technologies. PayPal must continue improving its products and customer experience to compete effectively with newer and technology-focused platforms.

4. Diversification creates growth opportunities:
PayPal's ecosystem, including PayPal, Venmo and Braintree, allows it to participate in different areas of digital payments and commerce. Expansion into value-added services can provide additional sources of growth.

5. Competition remains a major challenge:
PayPal operates in an intensely competitive environment. Companies such as Stripe, Apple, Google, Block and Adyen are continuously developing alternative payment experiences. Therefore, scale alone may not guarantee long-term leadership.

6. Regulation and cybersecurity are critical risks:
Because PayPal handles financial transactions and sensitive customer information, regulatory compliance, cybersecurity, privacy and fraud prevention remain strategically important. PayPal's annual report specifically highlights these areas as significant risks.

7. Artificial intelligence offers significant potential:
AI can help PayPal improve fraud detection, personalization, customer service and commerce experiences. Effective use of AI could strengthen the company's competitive position.

8. PayPal demonstrates the importance of an integrated FinTech ecosystem:
The company's development shows that successful FinTech platforms increasingly need to provide more than a single payment service. Combining payments, commerce, technology, data and value-added financial services can create a stronger and more sustainable platform.

Overall, the findings indicate that PayPal possesses substantial strengths through its brand, scale, infrastructure and ecosystem. However, its future competitiveness will depend on its ability to accelerate innovation, improve customer experience, manage regulatory and cybersecurity risks, and respond effectively to rapidly changing FinTech competition.

Conclusion

This case study examined Stripe as a Global FinTech Platform, focusing on its evolution, business model, technological innovation, international expansion, competitive strategy and position within the global digital payments industry. Stripe has developed from a payment-processing startup into a broader financial technology platform that provides infrastructure and tools for businesses operating in the digital economy.

The study shows that one of Stripe's major strengths is its technology-driven approach. Stripe simplified online payment integration for businesses and developers by providing programmable financial

infrastructure. Its focus on developers, ease of integration and scalable technology helped the company gain acceptance among e-commerce businesses and digital platforms. The Stanford case study highlights how Stripe expanded beyond basic online payments into tools for social commerce, marketplaces and business creation.

Stripe's international growth also demonstrates the importance of a global strategy in FinTech. Rather than limiting itself to a single geographical market, Stripe expanded its operations internationally and developed solutions for businesses participating in global commerce. Its internationalization can be understood through the concept of a Born Global firm, where technology and digital infrastructure enable rapid expansion into international markets.

The study further indicates that innovation and business-model diversification are important for the long-term sustainability of global FinTech platforms. Stripe operates in an industry characterized by rapid technological change, strong competition and changing customer expectations. Therefore, continuous investment in technology, product development, security and financial infrastructure is essential for maintaining its competitive position.

The SWOT analysis also shows that Stripe benefits from technological capabilities, developer-focused products, scalability and strong positioning within digital commerce. At the same time, it faces challenges such as intense competition from established payment companies and other FinTech platforms, regulatory requirements, cybersecurity risks and the need for continuous innovation. The competitive environment described in the Kellogg case demonstrates that Stripe must continually pursue scale and differentiate its services while competing with large payment processors and traditional financial institutions.

The comparison with PayPal demonstrates how the global FinTech industry contains both established platforms and newer technology-driven competitors. PayPal's large network, brand recognition and established infrastructure provide significant advantages, while Stripe's developer-centric approach and programmable financial infrastructure demonstrate a different model of FinTech innovation.

Overall, Stripe provides an important example of how technology, innovation, scalability and international strategy can transform a payment service into a global FinTech platform. Its growth demonstrates that the future of financial services is increasingly connected with digital commerce, software, data and integrated financial infrastructure. Stripe's continued success will depend on its ability to innovate, expand responsibly, manage risks and respond to changing global market conditions.

Thus, Stripe can be considered a significant example of global FinTech transformation, showing how digital platforms can reshape traditional financial services and support businesses in participating more effectively in the global digital economy.

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